
MEMORANDUM OF ASSOCIATION OF SOUTHGATE TEXTILES PRIVATE LIMITED

I. NAME CLAUSE

1. The name of the company is **Southgate Textiles Private Limited**.

II. REGISTERED OFFICE CLAUSE

2. The registered office of the company will be situated in the State of Tamil Nadu.

III. OBJECTS CLAUSE

3. The objects for which the company is established are:

(A) THE MAIN OBJECTS TO BE PURSUED BY THE COMPANY ON ITS INCORPORATION ARE:

1. To carry on in India and elsewhere the business of manufacturers, spinners, weavers, processors, dyers, printers, converters, importers, exporters, wholesalers, retailers and dealers in home textiles, furnishing fabrics, made-up textile articles, bed and bath linen, curtains, upholstery fabrics, yarn, cloth and all kinds of textile goods, whether made of cotton, silk, wool, jute, synthetic fibres or any combination thereof.
2. To set up, establish, operate and maintain factories, weaving and processing units, dye houses, finishing plants, warehouses and showrooms, and to acquire, install and operate looms, spinning frames, dyeing and printing machinery and other plant and equipment required for the manufacture and processing of textiles.
3. To buy, sell, prepare for market, import, export and deal in raw materials, stores, dyes, chemicals, packing materials, accessories and other articles required for or connected with the business of the company.

(B) MATTERS WHICH ARE NECESSARY FOR FURTHERANCE OF THE OBJECTS SPECIFIED IN CLAUSE 3(A) ARE:

1. To purchase, take on lease or otherwise acquire and hold any lands, buildings, plant, machinery and other property, movable or immovable, necessary or convenient for the purposes of the company.
2. **To borrow or raise money** in such manner as the company shall think fit, and in particular by the issue of debentures, and to secure the repayment of any money borrowed, raised or owing, by mortgage, charge, hypothecation, pledge or lien upon the whole or any part of the company's property or assets, whether present or future, and to guarantee and secure the obligations of the company.
3. To open accounts with and avail credit facilities from banks and financial institutions, and to draw, make, accept, endorse, discount and negotiate cheques, bills of exchange, promissory notes and other negotiable instruments.
4. To invest and deal with the moneys of the company not immediately required, in such manner as may from time to time be determined by the Board of Directors.
5. To do all such other things as are incidental or conducive to the attainment of the above objects or any of them.

IV. LIABILITY CLAUSE

4. The liability of the member(s) is limited and this liability is limited to the amount unpaid, if any, on the shares held by them.

V. CAPITAL CLAUSE

5. The authorised share capital of the company is Rs. 1,50,00,000 (Rupees One Crore Fifty Lakh only) divided into 15,00,000 equity shares of Rs. 10 (Rupees Ten) each. The issued, subscribed and paid-up capital is Rs. 1,00,00,000 divided into 10,00,000 equity shares of Rs. 10 each.

VI. SUBSCRIPTION CLAUSE

We, the several persons whose names and addresses are subscribed below, are desirous of being formed into a company in pursuance of this Memorandum of Association, and we respectively agree to take the number of shares in the capital of the company set opposite our respective names.

Name, address, description and occupation of subscriber	No. of equity shares taken	Signature
Lakshmi Iyer, No. 9, Race Course Road, Coimbatore 641018. Occupation: Business.	5,10,000	Sd/-
Venkat Iyer, No. 9, Race Course Road, Coimbatore 641018. Occupation: Business.	4,90,000	Sd/-
Total	10,00,000	

Dated this 10th day of March 2016. Witness to the above signatures: S. Ramanathan, Company Secretary.

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ARTICLES OF ASSOCIATION OF SOUTHGATE TEXTILES PRIVATE LIMITED

PRELIMINARY

1. Company as a Private Company

The company is a private company within the meaning of Section 2(68) of the Companies Act, 2013, and accordingly (a) restricts the right to transfer its shares; (b) limits the number of its members to two hundred; and (c) prohibits any invitation to the public to subscribe for any securities of the company.

2. Table F

The regulations contained in Table F in Schedule I to the Companies Act, 2013 shall apply to the company except in so far as they are excluded or modified by these Articles.

3. Share Capital

The share capital of the company is as stated in the Capital Clause of the Memorandum of Association. Subject to the provisions of the Act, the shares shall be under the control of the Board who may allot or otherwise dispose of the same.

BORROWING POWERS

84. Subject to the provisions of Sections 73 to 76, 179 and 180 of the Companies Act, 2013, the Board of Directors may from time to time, at its discretion, by a resolution passed at a meeting of the Board, **borrow, raise or secure the payment of any sum or sums of money** for the purposes of the company from any bank, financial institution or other person, and may secure the repayment thereof by mortgage, charge, hypothecation or pledge over all or any of the property or assets of the company, whether present or future.

85. The Board may, by a resolution under Section 179(3)(d) of the Act, delegate to any director or committee the power to borrow moneys and to create such security, within the limits and on the terms authorised by the Board.

DIRECTORS

90. Number of Directors

The number of directors of the company shall not be less than two and not more than fifteen. The first directors of the company are Smt. Lakshmi Iyer and Sri. Venkat Iyer.

91. Powers of the Board

The business of the company shall be managed by the Board of Directors, who may exercise all such powers of the company as are not, by the Act or these Articles, required to be exercised by the company in general meeting.

112. Winding Up

Subject to the provisions of the Act, if the company shall be wound up, the assets remaining after payment of the debts and liabilities shall be distributed among the members in proportion to the capital paid up on the shares held by them.

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TRANSFER AND TRANSMISSION OF SHARES

30. Restriction on transfer

The Board may, in its absolute discretion and without assigning any reason, decline to register any transfer of shares. No shares shall be transferred to a person who is not a member so long as any member is willing to purchase the same at fair value, in accordance with the pre-emption procedure set out in these Articles.

31. Transmission

On the death of a member, the survivor or survivors where the member was a joint holder, and the legal representatives of the deceased where he was a sole holder, shall be the only persons recognised by the company as having any title to his interest in the shares.

GENERAL MEETINGS AND DIVIDENDS

48. General meetings

The company shall in each year hold a general meeting as its annual general meeting in addition to any other meetings in that year. Not more than fifteen months shall elapse between the date of one annual general meeting and that of the next.

70. Dividends

The company in general meeting may declare dividends, but no dividend shall exceed the amount recommended by the Board. The Board may from time to time pay to the members such interim dividends as appear to it to be justified by the profits of the company.

78. Accounts and audit

The Board shall cause proper books of account to be kept, and the accounts of the company shall be audited by a qualified auditor appointed in accordance with the provisions of the Companies Act, 2013.

We, the subscribers to the Memorandum of Association, are desirous of being formed into a company in pursuance of these Articles of Association.

Subscriber 1	Lakshmi Iyer — Sd/-
Subscriber 2	Venkat Iyer — Sd/-
Dated	10 March 2016, Coimbatore
Witness	S. Ramanathan, Company Secretary